
Student Number

St Ignatius' College
Riverview

2020

HIGHER
SCHOOL
CERTIFICATE
Formative Task

Business Studies

Section 1

Question	Answer
1	C
2	B
3	B
4	A
5	A
6	D
7	B
8	C
9	A
10	C

Question 11 –

a) Outline a situation in which FIFO (first-in-first-out) would be an appropriate inventory management system in a supermarket

Criteria	*Mark*
Sketches a situation in general terms whereby FIFO would be an appropriate inventory management system in a supermarket.	2
Makes a relevant statement about FIFO inventory management system	1

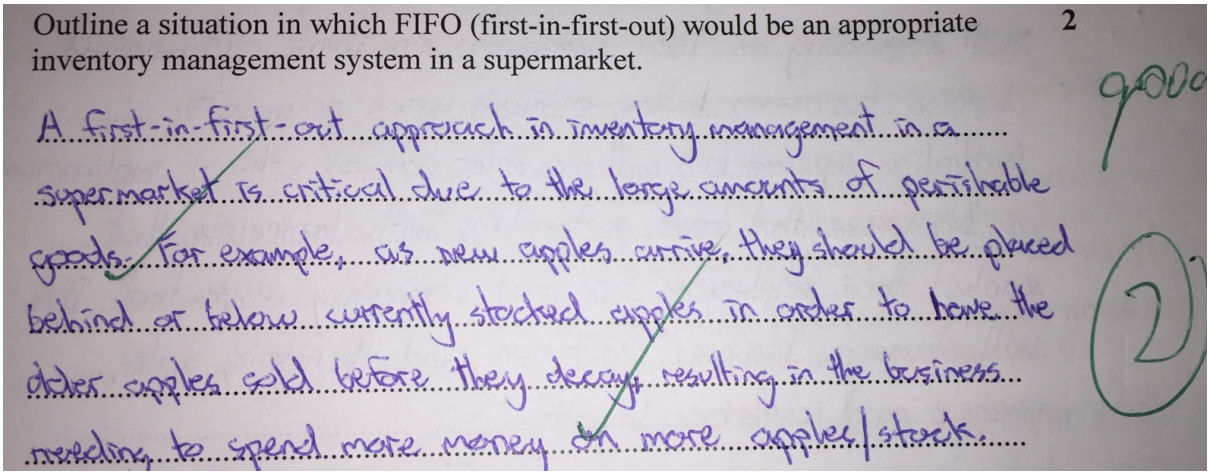
Answers could include:

- Definition or an understanding of what FIFO is, such that it logically leads to an appropriate benefit for supermarkets. I.e. the importance of physical stock rotation of old product in front of new product for goods which are perishable - Supermarket based examples could include milk, fresh fruit and vegetables etc.

Markers comments

For an answer to demonstrate why FIFO is appropriate it requires a demonstrated understanding of what FIFO is because it's these unique properties that lead to logical benefits. Many students simply asserted that FIFO would be advantageous for perishable stock, but didn't sketch in general terms their reasoning for this assertion.

Work sample:


Outline a situation in which FIFO (first-in-first-out) would be an appropriate inventory management system in a supermarket. 2

A first-in-first-out approach in inventory management in a supermarket is critical due to the large amounts of perishable goods. For example, as new apples arrive, they should be placed behind or below currently stocked apples in order to have the older apples sold before they decay, resulting in the business needing to spend more money on more apples/stock.

good

2

b) Explain TWO ways in which globalisation could have an impact on the operations of Australian supermarkets.

Criteria	*Mark*
Provides a cause and effect relationship between globalisation and **TWO** impacts that it could have on the operations of Australian Supermarkets.	4
Provides a cause and effect relationship between globalisation and **ONE** impacts that it could have on the operations of Australian Supermarkets **but only** sketches the other impact in general terms.	3
Provides a cause and effect relationship between globalisation and **ONE** impacts that it could have on the operations of Australian Supermarkets **OR** sketches **TWO** impacts of globalisation on the operations of Australian supermarkets.	2
sketches **ONE** impact of globalisation on the operations of Australian supermarkets.	1

Answers could include:

- *Increased competition*
    - May respond by competing by driving down costs (cost-leadership approach). Increased bulk-buying from suppliers, need for warehousing, global sourcing of inputs/foods, increased economies of scale by reducing range of products, reduced staffing costs, more self-service check outs etc.
    - May respond by competing by differentiating – increased quality, product range, physical layout – deli, butcher, fruit, etc, customer service etc.
- *Ability to globally source inputs* from countries around the world (customers can expect to be able to buy fruits and vegetables all year round, no longer seasonal in nature.
- *Ability to expand into new markets* – new supply chain required, logistics, global sourcing etc.
- Other logical answers may be accepted.

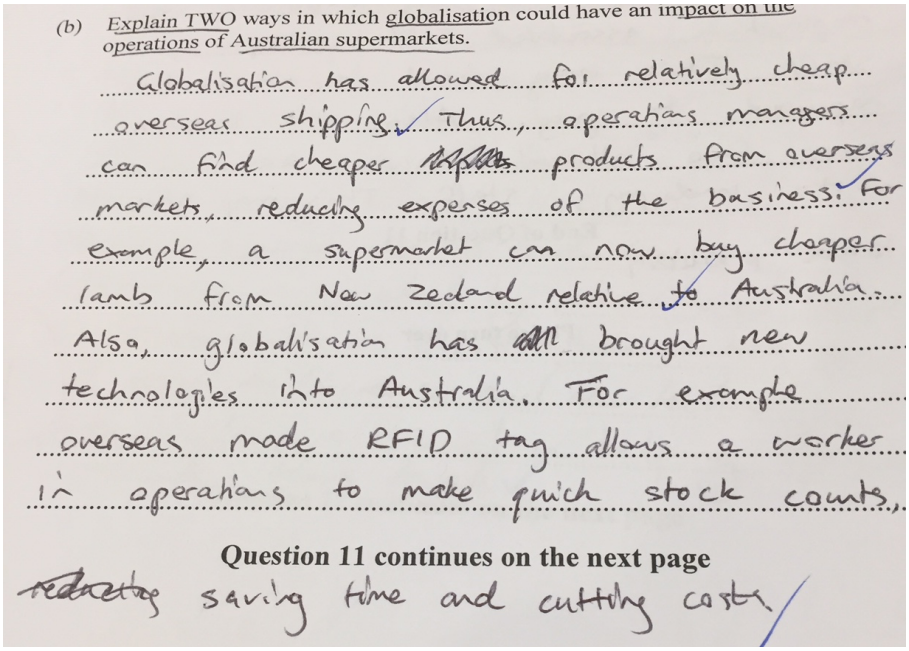
Markers comments

In general, there was a lack of detailed explanation that took the marker on a journey from globalisation to a logical impact of some aspect of globalisation on the operations of Australian supermarkets. Many students failed to demonstrate that they had sat in an HSC Business Studies classroom learning about operations for a full term as they didn't use any of the terminology from the HSC course.

- Terminology such as supply chain management, inventory management, global sourcing, transformed and transforming resources, transformation process etc was lacking.

Additionally, there was a lack of understanding about what an impact on operations actually means. **Writing about increased revenue, reduced market share, share price, profitability and even cost reduction are all financial or marketing concerns unless you directly argue how changes to the operations process could potentially relate to these concepts.** Yes, cost is a performance objective in operations but you still need to explain how the costs could be reduced via changes to operations that logically follow from pressures exerted from globalisation.

Work Sample


(b) Explain TWO ways in which globalisation could have an impact on the operations of Australian supermarkets.

Globalisation has allowed for relatively cheap overseas shipping. Thus, operations managers can find cheaper products from overseas markets, reducing expenses of the business. For example, a supermarket can now buy cheaper lambs from New Zealand relative to Australia. Also, globalisation has brought new technologies into Australia. For example overseas made RFID tag allows a worker in operations to make quick stock counts, reducing saving time and cutting costs.

Question 11 continues on the next page

c) Explain the legal and ethical implications that arise for Australian supermarkets as a result of this revelation.

Criteria	***Mark***
Provides a cause and effect relationship between the ethical **AND** legal implications that arise for Australian supermarkets as a result of this revelation.	4
Provides a cause and effect relationship between the ethical **OR** legal implications that arise for Australian supermarkets as a result of this revelation **but only** sketches in general terms the other.	3
Provides a cause and effect relationship between the ethical **OR** legal implications that arise for Australian supermarkets as a result of this revelation **OR** Sketches in general terms the ethical **AND** legal implications that arise for Australian supermarkets that arise as a result of this revelation.	2
Sketches in general terms the ethical **OR** legal implications that arise for Australian supermarkets that arise as a result of this revelation.	1

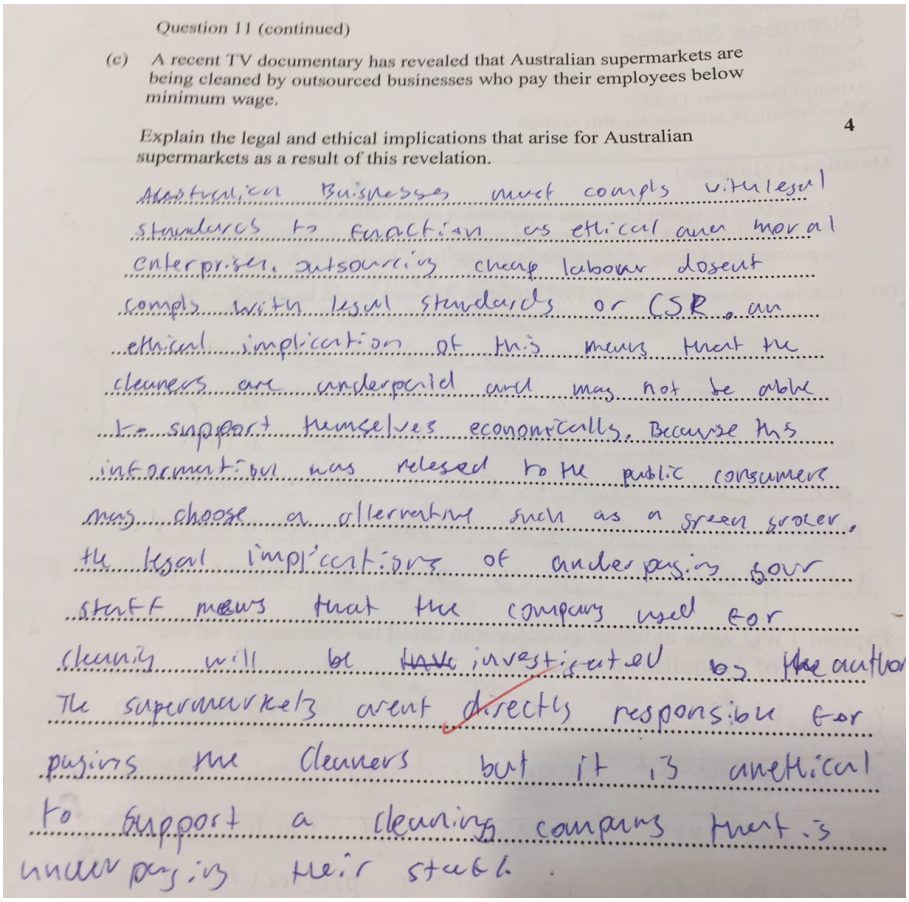
Answers could include

Legal – cleaners are employed by the outsourced cleaning company, therefore NOT legally a responsibility of Australian supermarkets as they are not the direct employer of these workers. Potentially could have legal implications if they knew about it and encouraged it.

Ethical – These cleaners are physically working on their premises, and it's likely that the supermarkets are benefiting financially as a result of the cheaper contract fee that the cleaning company is able to provide the supermarket as a result of underpaying these workers. It is likely that the supermarket is enjoying reduced cost of cleaning as a result of this exploitation and as a result they have a moral and ethical duty to intervene by auditing

the contractor and/or cancelling their contract in the event that legal underpayment is detected.

Work Sample



Question 11 (continued)

(c) A recent TV documentary has revealed that Australian supermarkets are being cleaned by outsourced businesses who pay their employees below minimum wage.

Explain the legal and ethical implications that arise for Australian supermarkets as a result of this revelation. 4

Australian Businesses must comply with legal standards to function as ethical and moral enterprises. outsourcing cheap labour doesnt comply with legal standards or CSR. an ethical implication of this means that the cleaners are underpaid and may not be able to support themselves economically. Because this information was released to the public consumers may choose a alternative such as a green grocer. the legal implications of underpaying your staff means that the company used for cleaning will be ~~have~~ investigated by the author The supermarkets arent directly responsible for paying the cleaners but it is unethical to support a cleaning company that is underpaying their staff.

Question 12 (6 marks)

(a) Why are human resources a transforming resource? (2 marks)

Criteria	Marks
• States a clear reason why human resources are a transforming resource	2
• Provides some relevant information	1

Exemplar:

(a) Why are human resources a transforming resource? 2

Transforming resources are resources that transform the transformed inputs into outputs. Human resources refer to the employees of the relationship who aid the transformation process and thus are transforming resources.

(b) Explain the impact of warranties on the operations of a car manufacturer.

Criteria	Mark
• Clearly provides the impacts of warranties on the operations of a car manufacturer.	4
• Provides why and/or how the impacts of warranties on the operations of a car manufacturer.	3
• Sketches in general terms warranties and the operations of a car manufacturer.	2
• Makes a statement about warranties and/or operations	1

(b) Explain the impacts of warranties on the operations of a car manufacturer. **4**

Warranties allow customers to receive returns and compensation for any defects or disfunctional goods they receive for a given time, costing the business more to produce. Thus, warranties impact the approach to operations process exponentially. A car manufacturer will need to put in place a quality management approach to ensure all standards are met, and continuous improvement is achieved. Aspects of control and monitoring will also need to be adopted, in order to reduce the frequency of warranties being used and to reduce additional costs. ← defects are reduced

Question 13

a) Distinguish between improvement and control in operations processes.

Criteria	*Mark*
Indicates difference between improvement and control in operations processes	2
Provide definitions of improvement and control	1

Answers could include:

Improvement is a change in a key performance target applying to an operations process, for example reducing wastage from 11% target to a 9% target. On the other hand, control in operations processes is monitoring to obtain data and then comparing to the existing target level (ie 11% waste) and taking corrective action where necessary to achieve that target.


Improvement refers to 'total quality management which entails continuous improvement of the operations process and the continual minimisation of defects. Whereas, control refers to measures set in place to collect data, such as inspections on assembly line and fix the defect.

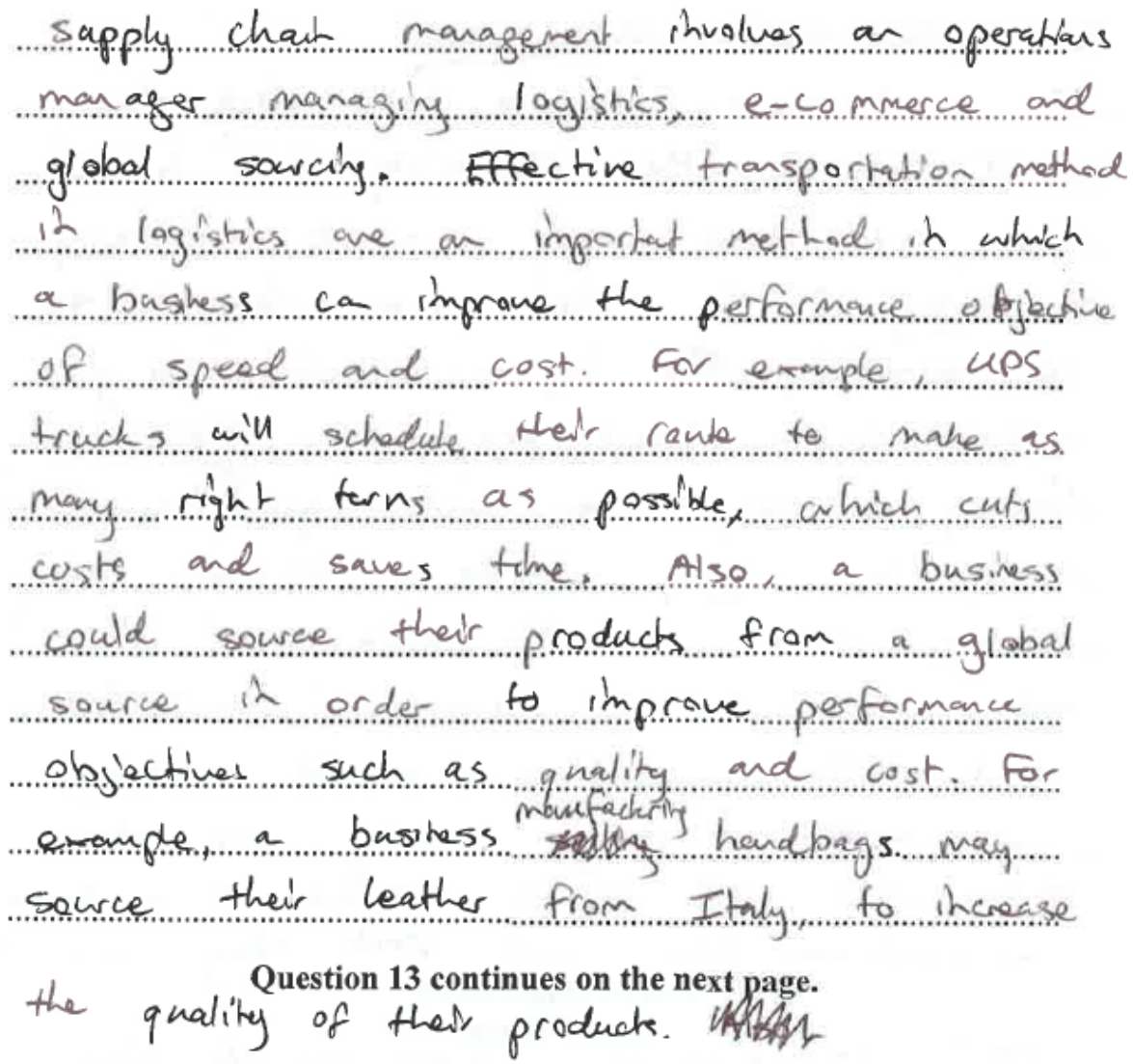
b) Outline how supply chain management can be used to improve performance objectives in operations.

Criteria	*Mark*
Sketches in general terms how supply chain management can be used to improve performance objectives in operations.	3-4
Sketches in general terms how supply chain management can be used to improve a performance objective in operations	2
Identifies how supply chain management can be used to improve performance objectives in operations	1

Answers could include:

Supply chain management refers to an operations strategy to increase operations performance by making changes to the way inputs, partly completed goods and finished goods are obtained, transported, warehoused, and transported to customers, and can improve the performance objectives of speed and cost. Speed can be improved by securing better, more reliable transport and logistics processes, either owned by the company (by purchasing better trucks) or outsourced to third parties with best practices (ie DHL). Cost can be improved by

better negotiations with suppliers in the supply chain, for example by securing volume discounts from a smaller number of suppliers by rationalising the supply chain.



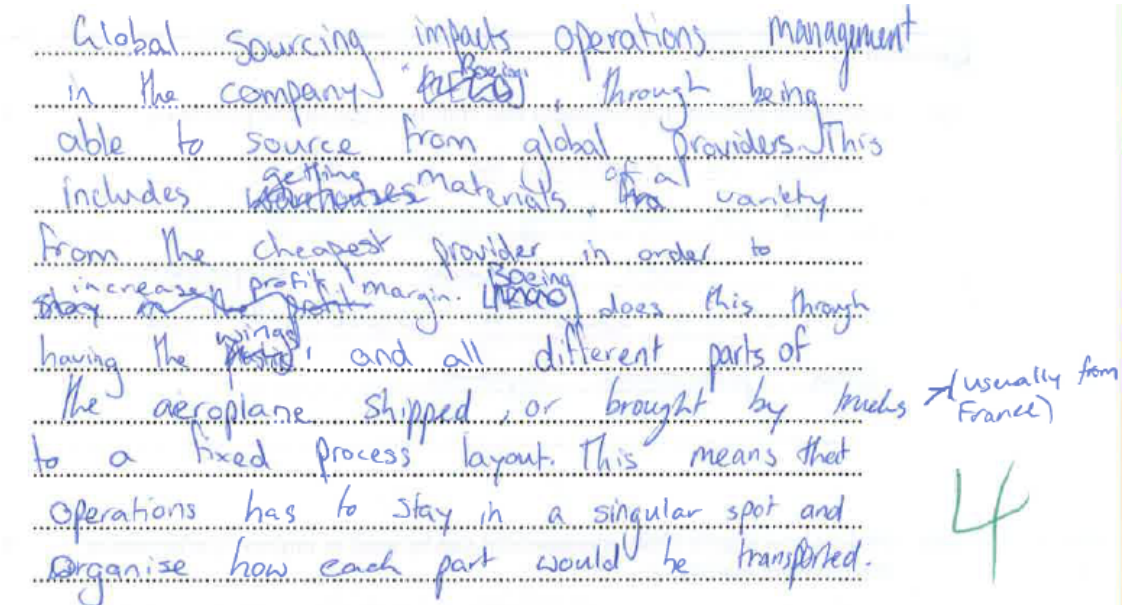
Question 13 continues on the next page.

c) With reference to a business you have studied, explain how global sourcing impacts operations management.

Criteria	*Mark*
Provides cause and effect in a case study addressing how global sourcing impacts operations management	4
Provides characteristics and features in a case study address how global sourcing impacts operations management	3
Provides theoretical cause and effect addressing how global sourcing impacts operations management	2
Provides characteristics and features addressing how global sourcing impacts operations management	1

Answers could include:

Global sourcing refers to a business sourcing transformed and transforming resources from overseas suppliers rather than only sourcing those elements from domestic suppliers. Global sourcing impacts operations management for global toy manufacturer LEGO, based in Denmark. LEGO source its key computer controlled inventory management reports and plant logistics, used in their factories in Denmark, Mexico, Czech Republic and China from a Swiss manufacturer who provides remote diagnostics and maintenance via the internet. The impact on operations management include reduced cost, increased quality, and greater inventory efficiencies, although does introduce complexity in having support via Switzerland and a degree of dependence on the outsource supplier in the event difficulties are encountered.


Global sourcing impacts operations managment in the company Boeing, through being able to source from global providers. This includes getting materials of a variety from the cheapest provider in order to increase profit margin. Boeing does this through having the wings, and all different parts of the aeroplane shipped, or brought by trucks (usually from France) to a fixed process layout. This means that operations has to stay in a singular spot and organise how each part would be transported.

4

d) Discuss the impacts of holding stock for a business.

Criteria	***Mark***
Provides points for and against holding stock	4
Identifies points for and against holding stock	3
Provides points for OR against holding stock	2
Identifies points for OR against holding stock	1

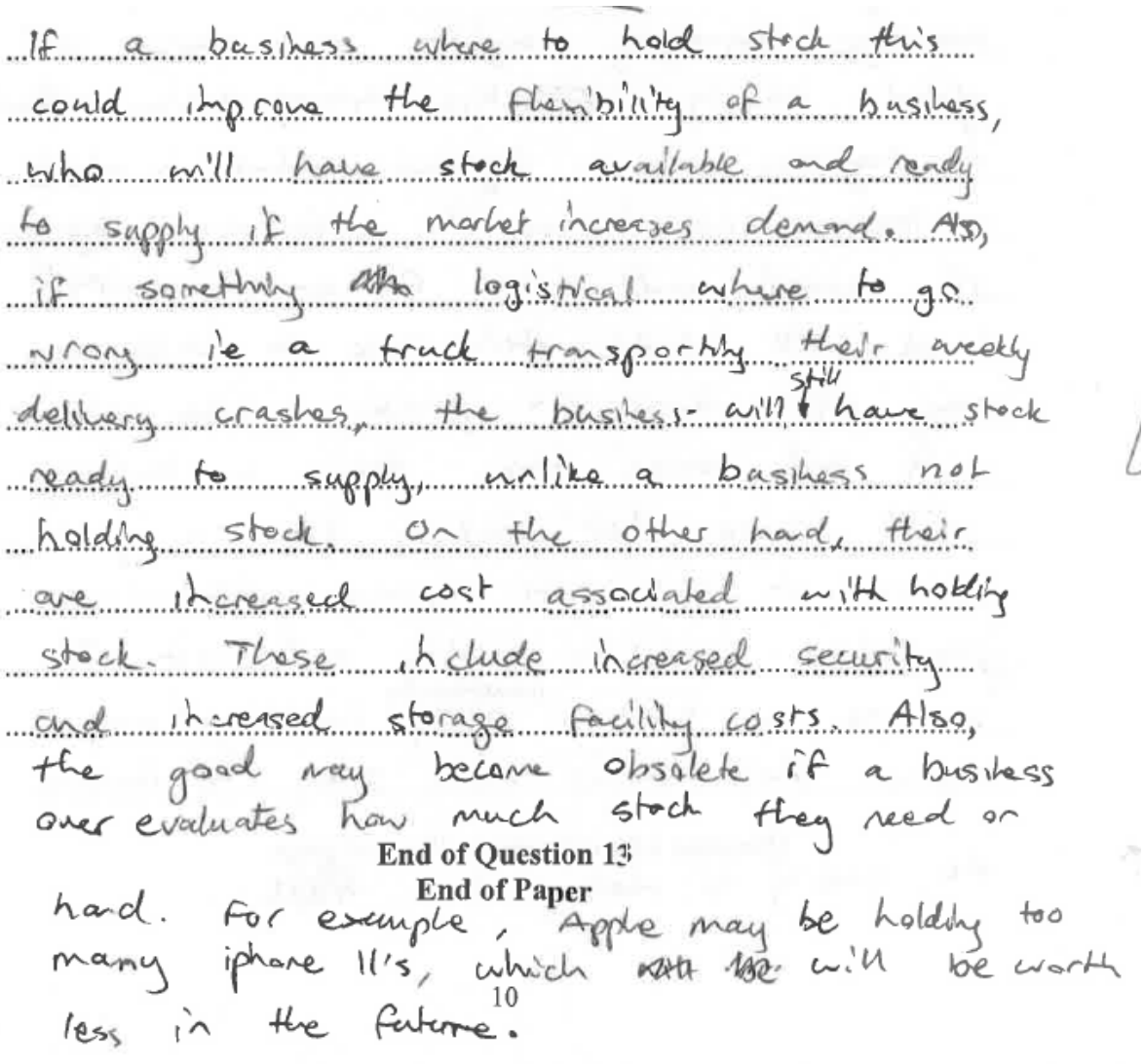
Answers could include:

The advantages of holding stock of inputs for a manufacturer include that disruptions in supply in the supply chain do not stop the factory and production, and for a retailer include that goods can be transported from the warehouse or distribution centre to meet increased demand and reduce lead times to secure sales. On the other hand, disadvantages of holding stock include the negative cash flow impact of having money tied up in stock, costs of storage, insurance and theft control, and the increased risk of financial losses caused through stock obsolescence where stock becomes obsolete as a result of changing consumer tastes and

preferences.

NOTE: some students misread the question, reflecting a lack of knowledge of the syllabus, and answered the question on the basis of holding stock for **another** business which is not the focus of the syllabus.

Work Sample:


If a business where to hold stock this could improve the flexibility of a business, who will have stock available and ready to supply if the market increases demand. Also, if something logistical where to go wrong ie a truck transporting their weekly delivery crashes, the business will still have stock ready to supply, unlike a business not holding stock. On the other hand, there are increased cost associated with holding stock. These include increased security and increased storage facility costs. Also, the good may become obsolete if a business over evaluates how much stock they need or

End of Question 13

End of Paper

hand. For example, Apple may be holding too many iphone 11's, which will be worth less in the future.